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Starbucks and the Battle for Third Place

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The Starbucks Coffee Company is at a pivotal point in the history of its brand development. What Starbucks means to the consumer amongst other major specialty coffee retailers may not currently be what it once was, and Starbucks executives are desperate to understand the causes and the consequences of the brand's evolution. Ever since 1984, when current CEO Howard Schultz introduced the Café Latte inspired by his encounter with espresso bars in Milan, Starbucks has aimed to cultivate a coffeehouse culture in its stores ("Company timeline," 2009). Before the advent of Starbucks, America had not yet seen such an environment pervading its social structure. Yet, today, it is common for any hub of social activity to include a coffee shop. The catalyst of such a phenomenon is Starbucks' guiding philosophy within its retail outlets—that of a third place for its customers, a place of social identity apart from the home and workplace. In recent years, however, Starbucks has faced pressure from many of its competitors. Several fast food and dine-in retailers have successfully launched product lines of espresso beverages, incorporating specialty coffee into their menus and challenging Starbucks' market power over the coffeehouse experience. Starbucks had made decisions regarding its franchising structure and target market, resulting both favorably and unfavorably in its attempt to maintain its brand's image of luxurious hospitality. The primary challenge that Starbucks now faces forming strategies that cultivate the brand as a 'third place' for its customers in spite of the growing competition.

Starbucks and the Third Place

The 'third place' is a phrase coined by contemporary sociologist Ray Oldenburg. Oldenburg (1990) postulates that the third place is a term referring to a public place where people gather for the social satisfaction that they can't get from the first two domains of the home and the workplace. Moreover, Oldenburg argues that the availability of such gathering places in America is lacking. Loitering outside of convenience stores and fast-food franchises has become a common practice among those looking for a neutral social atmosphere. (pp. 16-18). In an age of such compartmentalized social life, there simply is no public place for people to go and enjoy one another's company.

Inspired by Oldenburg's observations, Schultz of Starbucks has turned America's seeming lack of place into a viable business opportunity. Encouraging loitering and offering lattes, Schultz has developed Starbucks into a cozy home-away-from-home. In a book of his own, Schultz (1997) applies the need of a third place in the lives of people to the popularity of Starbucks with its customers:

> In an increasingly fractured society, our stores offer a quiet moment to gather your thoughts and center yourself. Starbucks people smile at you, serve you quickly, don't harass you. A visit to Starbucks can be a small escape during a day when so many other things are beating you down. We've become a breath of fresh air. (p. 119)

Schultz continues to cite several examples of human interaction he has noticed within the doors of Starbucks stores, including a couple that wished to have their wedding in a Starbucks store (pp. 120-122). Wherever there is social need to met, there is a market niche to be filled. Schultz has certainly been cognizant of this business axiom.

Today, Starbucks fights to carry on its vision of being a haven for people in need of social interaction. Its stores, advertisements, and website are all centered on the idea of community. Currently, the mission statement of Starbucks is "to inspire and nurture the human spirit—one person, one cup, and one neighborhood at a time" ("Mission statement," 2009). The Starbucks agenda is not so much about coffee as it is about people. In fact, in an interview with *Executive Excellence*, Schultz reveals the balance between the quality of the coffee Starbucks serves and the importance of the customer they are serving. "Coffee is at the center of what we do, but it's about the experience we create in our stores and in our company…it's a conduit to what we do" ("Sharing Success," 1999). Starbucks has made it clear that its intention is not merely to serve coffee to its customers, but rather to serve to its customers a social environment that gives them a sense of belonging.

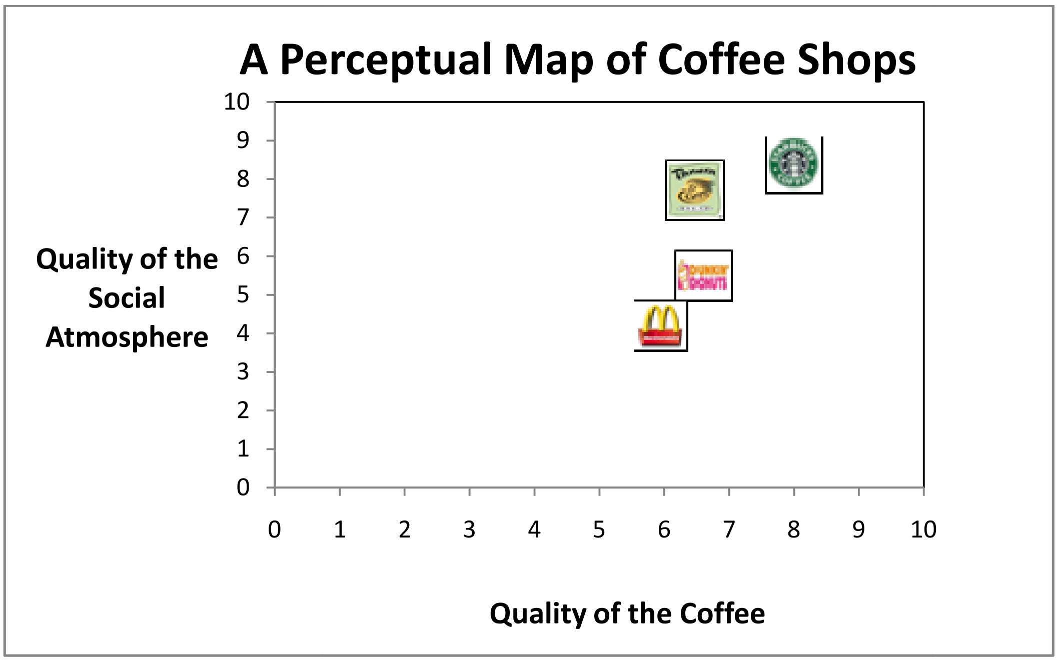
Competition for the Third Place

Starbucks has long been considered to have a near monopoly on coffee shops. In fact, a lawsuit was just recently brought against Starbucks regarding its monopoly power in Seattle, driving a certain independent coffee retailer out of business ("Starbucks sued," 2006). Regardless of its apparent monopoly in the business of coffee shops, however, Starbucks by no means has a monopoly in the business of shops that offer high-end coffee. McDonald's, for example, has been slowly developing their line of espresso beverages, known in whole as their McCafe brand. The first McCafe opened in the United States in 2001, and McDonald's plans to switch the remainder of its 14,000 US stores over by mid-2009 ("McCafe," 2009). As espresso beverages and specialty coffees become more incorporated into menus of other restaurants, Starbucks faces the challenge of losing 'third place' power to these restaurants.

A recent survey reveals a perceptual map of how consumers view the quality of the social atmosphere and the quality of the coffee across four restaurants that offer high-end coffee ("Figure 1," 2009). According to the survey, consumers prefer Starbucks coffee only slightly to the coffee of McDonald's, Dunkin' Donuts, and Panera Bread. Moreover, consumers view coffee at these competing specialty coffee retailers to be rather homogeneous in quality. As for the quality of the social atmosphere, however, there is greater stratification among the different retailers. The social atmosphere at McDonalds is preferred least, followed by Dunkin' Donuts, and finally Panera Bread—which is almost equal to that of Starbucks in consumer preference. Starbucks is not in competition, therefore, with the coffee of its competitors; rather, it is in competition with the in-store environment of its competitors.

Starbucks is not threatened by product. It is instead threatened by service. The battle among these restaurants is for the consumer's time. If consumers find a better 'third place' among Starbucks' competitors and can obtain what they perceive to be a decent cup of coffee there, Starbucks will have little to offer. Starbucks' best strategy is to extend monopoly power over the third place.

Figure 1: A Perceptual Map of Coffee Shops



Note. From survey by D. Rice February 2009.

Franchising: How Starbucks is Winning the Battle

Many restaurants have found it profitable to franchise, allowing independent owners to bear the primary weight of upholding the brand name. Largely, the competitors of Starbucks have gone the franchising route. Panera Bread, for example, permits franchisees who will commit to opening fifteen stores in six years ("Panera Franchise," 2009). Caribou Coffee, a Starbucks competitor headquartered in Minnesota, offers a similar plan in which it expects franchisees to open ten stores in a period of time contingent on the geographic market ("Caribou Franchise," 2009). McDonald's, quite possibly the most recognized franchisor in the restaurant business describes itself as being "committed to franchising as a predominant way of doing business," ("McDonald's Franchise, 2009"). In spite of such a trend occurring in the industry, Starbucks holds to maintaining all of its free-standing coffee shops as company-owned stores. Starbucks' franchising scheme is somewhat different, offering in lieu of franchises licenses to sell Starbucks in certain venues. Licensed stores have made Starbucks products available everywhere from airports, to bookstores, to college campuses ("Company profile," 2009). With such a licensing structure, Starbucks can make its products available to more people without losing control of the brand.

The principle advantage given to Starbucks in its licensing model relative to its competitors' franchising structures lies in the incentives for poor quality created through franchising. Paul Rubin (1990) uses McDonald's as an exemplary franchise in maintaining brand quality. McDonald's, he suggests, is not successful for selling hamburgers so much as it is successful for selling hamburgers of a consistent quality. Consumers eat at a particular McDonald's franchise because they expect the same taste from the hamburgers as they would receive at any other McDonald's franchise. This fact, however, encourages owners of a particular franchise to be lax on quality standards in order to save money. If the customer is disappointed with the quality, after all, the disappointment will fall on McDonald's as a whole rather than the particular franchise that sold the hamburger. Due to this problem of franchisee incentives, McDonald's must heavily monitor each of its stores to maintain the quality of its hamburgers (pp. 137-138). Franchisees are not concerned with promoting the brand so much as they are concerned with promoting their own franchises.

Unlike McDonald's in the 'fast-food' industry, Starbucks in the 'third place' industry is not primarily attempting to maintain the quality of a certain product. Starbucks' primary goal is to maintain the quality of the atmosphere. If the quality of the coffee were the only issue, perhaps Starbucks would look more favorably upon franchising. As it stands, Starbucks emphasizes quality in a sector that can no more easily be monitored as it can be measured. The quality is found not in what the customer buys, but rather in what the customer experiences. One Starbucks executive, Martin Coles, states, "The thing in our company and the thing that works universally is this whole notion of Third Place. It's about the in-store experience—all of it" (Michelli, 2006, p. 22). Starbucks, thus, has an advantage over the social environment set forth by competitors such as Panera Bread and Caribou Coffee. Although its competitors may strive to be a third place for customers, each franchise will necessarily involve some inconsistency in the brand experience. Starbucks, however, is able to manage the brand effectively through company-owned stores that create a consistent brand experience for its customers.

Reputation: How Starbucks is Losing the Battle

"Stores no longer have the soul of the past and reflect a chain of stores vs. the warm feeling of a neighborhood store," admits CEO Schultz upon the closing of 600 stores due to over-expansion (Quelch, 2007). Over time, Starbucks has lost some of its prestige to its popularity. The Starbucks brand has become less of a luxury and more of a commodity, causing its stores to be weaker candidates for the third place of its customers. The original image of Starbucks as a haven for its customers has given way to a newer, fast-food oriented image of a quick-stop. Starbucks has become a place to pass through, rather than a place to sit and stay a while. In 1994, Starbucks opened its first drive-through coffee store and, by 2005, over half of the company's stores had converted. By responding to one facet of customer demand, Starbucks has received much criticism for becoming the "McDonalds of coffee" (Gillespie, 2005). It is almost as if Starbucks has forgotten its customers in an attempt to reach those of McDonalds and other fast-food restaurants. "As a luxury brand," explains PR specialist Wayne Shaffel, "it is remarkable to think that they could have opened on virtually every corner…What Starbucks had going for it was an aura of exclusivity—a place to go and have a more than decent coffee of coffee and do some social networking" (Cobb, 2008). The Starbucks brand then faces the problem of a failing reputation in its growth strategy—as it expands in retail space, it declines in consumer interest.

The rapid expansion of Starbucks stores is not the only contribution to its evolving reputation as the fast-food of coffee. In recent years, Starbucks has also altered its product line from a sit-down, elegant, exploratory type of menu to a grab-as-you-go simplistic selection. In early 2008, Starbucks stopped brewing all of its coffees in the stores and replaced them with a single, simple brew—Pikes Place Roast. Unlike the bold and roasty sensations found in many of its coffees, Pike Place carries a milder, more commonplace flavor promoted by Starbucks as a "friendlier" coffee (Cuozzu, 2008). In early 2009, Starbucks announced it would sell for the first time a 'value meal' of sorts. Starbucks now offers an oatmeal and latte "pairing"—as it is called—for a reduced price when purchased together rather than individually (Adamy, 2009). Starbucks' latest stride into fast-food culture is a move that has shocked even the most avid brand loyalists. In an attempt to tap into a market that controls over sixty percent of the coffee demand in the United States, Starbucks has introduced its own instant coffee. Naming the coffee "Ready-brew," Schultz explains that the coffee has been developed over decades and is not the typical instant coffee. However, in the consumers' mind, the launch of such a product is just another move that strips away from the brand's image of luxury (Cheng and Andrejczak, 2009). The euphemistic terms 'friendlier,' 'pairing,' and 'ready-brew' are translated into the minds of Starbucks customers in a single word—'McStarbucks'.

Not only is the Starbucks brand suffering from its schizophrenia with fast-food and coffeehouse cultures, but Starbucks' competitors are reaping the benefits. In response to a Starbucks decision to stop brewing decaffeinated coffee in the afternoons, Caribou Coffee advertised on January 30, 2009 that it would be giving away free decaf coffee in all of its stores (Tightwad, 2009). In lieu of Starbucks' shrinking away from the ‘third place’ strategy of customer retention, Caribou has been busy making its stores all the more welcoming. Like many popular hang-out spots, Caribou offers free WIFI for its customers (“Caribou wifi,” 2009) whereas WIFI at Starbucks comes at a cost to the customer (“Starbucks wifi,” 2009). For business meetings, parties, or other large group gatherings, Caribou even offers private meeting rooms with amenities such as ‘a dry-erase board,’ ‘a relaxing environment,’ and—a direct blow to Starbucks—‘the world’s best coffee’ (“Meeting rooms,” 2009). Panera Bread, another well-known ‘third place’ competitor for Starbucks has been focusing its strategy on providing a pleasant atmosphere to its customers. Also offering free WIFI, Panera presents endless free refills of coffee to its lobby customers while overtly advertising the complex and careful process in which the coffee is roasted. Other advertisements around the store meld into the mind of its customers the notion of ‘third place.’ One popular advertisement reads, “Our bakery-cafes are an everyday oasis. A place to gather with friends or enjoy a quiet moment alone. Comfortable, friendly, fashionable. A place to recharge and feel rejuvenated. Slip into one of our seriously comfy chairs and stay awhile” (“Panera Ad,” 2009). Companies like Caribou and Panera have gone to great lengths to establish their stores as comfortable social environments, while Starbucks has paid little attention recently to the atmosphere in its cafes. In trying to reach customers in the fast-food market, Starbucks has faced growing competition for its loyal base—coffee house customers.

Third Place: The Winning Strategy for Starbucks

For Starbucks, the greatest chance at survival in its industry is clinging to the ‘third place’ business model. If the strategies are in place to preserve the brand as a welcoming haven for customers, other ‘third place’-oriented companies will not be able to compete. If, however, Starbucks proceeds in implementing strategies designed for the fast-food market, companies such as Panera Bread and Caribou Coffee will be content to fill the niche. Starbucks’ franchising structure is adequate for securing the cohesiveness of its brand, but if the target market changes then the benefit of company-owned stores is more or less lost. In Schultz's (1997) own words, "Innovation has to be relevant and inspiring, or it will burst into color and fade away as quickly as fireworks" (p. 122). Starbucks' developing fast-food approach may have color to some customers, but if the loyal latte-drinking, newspaper-reading, internet-surfing café customers are not pleased, the brand is finished.

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